1 Introduction

Section overview

A parent may dispose of all or some of its shares in a subsidiary.

1.1 Disposal

So far, we have been looking at the circumstances in which one entity acquires a controlling interest in another entity, giving rise to a parent-subsidiary relationship. However, the decision to dispose of a subsidiary is equally important. A company may decide to dispose of a subsidiary for a number of reasons, including:

- the need to generate cash;
- the fact that the subsidiary does not fit in with future strategic plans; and
- underperformance of the subsidiary.

When a group disposes of all or part of its interest in a subsidiary this needs to be reflected in the **parent's separate financial statements and in the group financial statements.**

The Financial Accounting and Reporting syllabus only examines the **complete disposal** of subsidiaries.

2 Treatment of disposal in parent company's own financial statements

Section overview

A profit or loss will be calculated by comparing the sale proceeds with the carrying amount of the investment disposed of.

2.1 Recording the disposal

In the individual financial statements of the parent company, the investment in the subsidiary will have been recorded as follows:

Statement of financial position

- **Non-current asset investment** (at cost, in accordance with IFRS 9 or using the equity accounting method)

When the investment is sold, this should be treated as a non-current asset disposal. This will usually give rise to a **profit or loss on disposal** in the parent's individual financial statements.

The disposal will be recorded as follows:

		CU	CU
DR	Cash/receivables (proceeds)	X	
CR	Investment in S (carrying amount)		X
DR or CR	Profit or loss (loss/profit on disposal)	X	or X

3 Complete disposal of a subsidiary

Section overview

- The subsidiary that has been disposed of is not included in the consolidated statement of financial position.
- In the consolidated statement of profit or loss:
- The results of the subsidiary should be time-apportioned and consolidated up to the date of disposal.
- The non-controlling interest should be based on its share of the subsidiary's results up to the date of disposal.
- The group profit or loss on disposal should be recognised.
- In the consolidated statement of changes in equity the balance relating to the non-controlling interest in the subsidiary sold should be removed.

3.1 Consolidated statement of financial position

The consolidated statement of financial position shows the financial position **at a particular point** in time (ie, the end of the reporting period). As a result, if a subsidiary has been disposed of during the year, that subsidiary **should not be reflected in the consolidated statement of financial position** at the end of the year. A consolidated statement of financial position will only need to be prepared if the parent has other subsidiaries and should be prepared as though the subsidiary disposed of **had never existed**.

3.2 Consolidated statement of profit or loss

When a subsidiary is disposed of, its resources cease to be controlled by the group at the date of disposal. Before that point, they are under the group's control and therefore the results of the subsidiary **up to the disposal date** should be included in the consolidated statement of profit or loss. So there will always be a consolidated statement of profit or loss in the year of disposal, even if the parent has no other subsidiaries. The consolidated statement of profit or loss should include:

- The subsidiary's results **up to the date of** disposal (pro-rata if the subsidiary is disposed of part- way through the accounting period);
- If there is a **non-controlling interest** in the subsidiary, **its share of the subsidiary's results up to the date of disposal**; and
- The group profit or loss arising on the disposal.

Professional skills focus: Concluding, recommending and communicating

You may be required to explain the accounting treatment, and the principles underlying that treatment, of the disposal of a subsidiary. The principles are the same as those underlying the acquisition of a subsidiary – control, ownership and the single entity concept. However, the accounting is not easy. Communicating difficult ideas clearly is a skill you will develop on your journey through the CA qualification.

Professional skills focus: Applying judgement

As we saw in Chapter 10, determining whether control exists, and therefore whether an investment is a subsidiary, may not always be clear cut. Similarly, it may not always be straightforward to determine whether control has been lost. Because it is not straightforward, IFRS 10 contains additional guidance to help companies determine whether control exists, but still it may not be obvious. An accountant must use judgement to work out the correct accounting treatment. This is not developed further in Financial Accounting and Reporting, as only complete disposals are considered, but will be explored further at the Advanced level.

3.3 Group profit/loss on disposal

The group profit or loss on disposal is the difference between the **sales proceeds and the carrying amount of the parent's total investment in the subsidiary** ie, the amounts in respect of the subsidiary which would appear in a consolidated statement of financial position if it was prepared immediately before the disposal. The parent's investment in the subsidiary is the sum of:

- **The consolidated carrying amount of the subsidiary's net assets at the date of disposal**; add
- The carrying amount of **goodwill** acquired in the business combination with the subsidiary (goodwill at acquisition less any impairments); less
- The non-controlling interests at the date of disposal.

The profit or loss on disposal is therefore calculated as:

	CU	CU
Sales proceeds		X
Less: Carrying amount of goodwill at date of disposal		(X)
Less: Carrying amount of subsidiary's net assets at date of disposal		(X)
Add NCI in net assets at date of disposal (see Note 2 below)		X
Profit (loss) on disposal		X/(X)

Notes

1 The carrying amount of goodwill at the date of disposal is calculated as:

	CU
Goodwill	
Consideration transferred	X
NCI at acquisition	X
Less: fair value of identifiable assets acquired and liabilities assumed at acquisition	(X)
Goodwill at acquisition	X
Less impairment losses to date	(X)
Carrying amount of goodwill	X

2 The net assets at the date of disposal is calculated as:

	CU
Net assets b/f	X
Profit/(loss) for current period to disposal date	X/(X)
Dividends paid before disposal date	(X)
Net assets at date of disposal	X

Only those dividends paid in the year and before the date of disposal should be deducted in calculating net assets at disposal.

3 The NCI in net assets in the calculation includes the carrying amount of any NCI goodwill where NCI is measured at fair value. Otherwise, it is measured as a proportion of net assets at the date of disposal.

4 In exam questions you should assume that a subsidiary which is fully disposed of is a separately reportable business segment and meets the IFRS 5, Non-current Assets Held for Sale and Discontinued Operations definition of a **discontinued activity** (the presentation of discontinued operations was discussed in Chapter 3). As such, the disposal should be disclosed in accordance with IFRS 5.

These learning materials adopt the approach illustrated in IFRS 5 Illustrative Guidance Example 11. This includes a one line entry in the statement of profit or loss which incorporates both the subsidiary's results up to the date of disposal and the group profit or loss arising on disposal. You should adopt this approach in the examination.

Interactive question 1: Profit/loss on disposal

Champion plc has held a 70% investment in Hercules Ltd for many years. On 31 December itdisposed of all of this investment. Further details are as follows:

	CU
Consideration transferred on acquisition	2,000
Fair value of the identifiable assets acquired and liabilities assumed by Champion plcat the date of acquisition	1,900
Sale proceeds	2,100
Hercules Ltd's net assets at the date of disposal	2,400

Champion plc elected to measure non-controlling interests using the proportionate basis.

Requirements

1.1 Calculate the profit/loss on disposal in Champion plc's individual accounts assuming that the investment is carried at cost.

Champion plc's individual accounts

	CU
Proceeds Cost	
Profit on disposal	

1.2 Calculate the profit/loss on disposal in the consolidated accounts, assuming that in respect of goodwill:

(1) There has been no impairment.

(2) There has been an impairment loss of CU470.

Consolidated accounts

Sales proceeds

Less carrying amount of goodwill at date of disposal:

Consideration transferred NCI at acquisition

Less net assets at acquisition Goodwill at acquisition

Less impairment to date

	No impairment		**Impairment loss of CU470**	
	CU	**CU**	**CU**	**CU**
Less carrying amount of net assets at date of disposal				

	No impairment		**Impairment loss of CU470**	
	CU	**CU**	**CU**	**CU**
Add back NCI in net assets at date of disposal				
Profit (loss) on disposal				

See **Answer** at the end of this chapter.

Professional skills focus: Assimilating and using information

An important skill you will develop over the course of your studies is to filter information provided to identify critical facts. In respect of the disposal of a subsidiary, the critical fact is the date of disposal. It determines whether or not the subsidiary's net assets should be consolidated at the reporting date. It determines how much of the subsidiary's profit for that year should be consolidated and so affects the profit or loss on disposal. Make sure you pay close attention to the disposal date in an exam question.

3.4 Consolidated statement of changes in equity

There will almost always be a need for a consolidated statement of changes in equity (CSOCE) in the year of disposal (the only exception would be if the parent had no other subsidiaries and there had been no non-controlling interest in the subsidiary now disposed of). In relation to the subsidiary disposed of, the CSOCE will present the following in the non-controlling interests column:

- The non-controlling interest in the subsidiary's share capital and retained earnings brought forward ie, **the non-controlling interests amount as shown in the previous period's consolidated statement of financial position**.
- The subsidiary's total comprehensive income (to the date of disposal) attributable to the non-controlling interests. This reflects the **non-controlling interests** amount shown **in the consolidated statement of profit or loss and other comprehensive income**.

- A **deduction for the total of the above amounts**. This deduction should be made because at the end of the current period there will be no non-controlling interest in relation to the subsidiary, which has now been disposed of.

Note: There is no need to make a similar deduction to the retained earnings column in the CSOCE because the group share of the historic retained earnings of the subsidiary from acquisition to disposal remains part of group retained earnings.

Worked example: Complete disposal

Blue plc bought 80% of the share capital of Black Ltd for CU950,000 on 1 October 20X1. At that date Black Ltd's retained earnings stood at CU510,000 and the fair value of the identifiable assets acquired and liabilities assumed by Blue plc were equal to their carrying amounts. Blue plc has several other subsidiaries, which are all wholly owned.

The statements of financial position at 30 September 20X8 and the summarised statements of profit or loss to that date are given below.

Statement of financial position

	Blue plc Group	Black Ltd
	CU	CU
Property, plant and equipment	2,050,000	600,000
Investment in Black Ltd	950,000	–
Current assets	2,700,000	1,300,000
	5,700,000	1,900,000
Share capital (CU1 ordinary shares)	2,000,000	300,000
Retained earnings	2,500,000	1,100,000
	4,500,000	1,400,000
Current liabilities	1,200,000	500,000
	5,700,000	1,900,000

Statement of profit or loss

	CU	CU
Profit before interest and tax	1,400,000	180,000
Income tax expense	(400,000)	(50,000)
Profit for the year	1,000,000	130,000

Statement of changes in equity (extract)		
	CU	CU
Retained earnings at 1 October 20X7	1,500,000	970,000
Total comprehensive income for the year	1,000,000	130,000
Retained earnings at 30 September 20X8	2,500,000	1,100,000

To date, no impairment losses on goodwill have been recognised. The Blue plc group figures exclude any amounts for Black Ltd. Blue plc sold its entire holding in Black Ltd for CU2,100,000 on 30 September 20X8. No entries have been made in the accounts for this disposal.

Requirement

Prepare the consolidated statement of financial position, consolidated statement of profit or loss and consolidated statement of changes in equity extracts for retained earnings and non-controlling interest at 30 September 20X8.

You should assume that the disposal is a discontinued operation in accordance with IFRS 5, Non-current Assets Held for Sale and Discontinued Operations.

Solution

Blue plc Group

Consolidated statement of financial position as at 30 September 20X8

	CU
Property, plant and equipment	2,050,000
Current assets (2,700 + 2,100 disposal proceeds)	4,800,000
	6,850,000
Share capital	2,000,000
Retained earnings (W4)	3,650,000
	5,650,000
Current liabilities	1,200,000
	6,850,000

Consolidated statement of profit or loss for the year ended 30 September 20X8

	CU
Continuing operations	
Profit before tax	1,400,000
Income tax expense	(400,000)
Profit for the year from continuing operations	1,000,000
Discontinued operations	
Profit for the year from discontinued operations (130 (W1) + 678 (W2))	808,000
Profit for the year	1,808,000
Profit attributable to:	
Owners of Blue plc (β)	1,782,000
Non-controlling interests (20% × 130)	26,000
	1,808,000

Consolidated statement of changes in equity (extract)

	Blue plc retained earnings CU	Non-controlling interests (Back ltd) CU
Balance at 1 October 20X7 (W3 + W5)	1,868,000	254,000
Total comprehensive income for the year	1,782,000	26,000
Eliminated on disposal of subsidiary (W2)		(280,000)
Balance at 30 September 20X8 (W4)	3,650,000	–

WORKINGS

(1) Profit of Black Ltd for year to disposal

	CU
Profit for the year	130,000
× 12/12	130,000

(2) Profit on disposal of Black Ltd

	CU	CU
Sales proceeds		2,100,000
Less:		
Carrying amount of goodwill at date of disposal		
Consideration transferred		950,000
NCI at acquisition (20% × (300 + 510)) 162,000 Less fair value of identifiable assets acquired and liabilities assumed at acquisition		(810,000)
		(302,000)
Less carrying amount of net assets at date of disposal		(1,400,000)

(3) **Retained earnings brought forward**

	CU
Ben plc Group	1,500,000
Black Ltd (80% × (970 - 510))	368,000
	1,868,000

(4) **Retained earnings carried forward**

	CU
Blue plc Group	2,500,000
Profit on disposal (2,100 – 950 (see Note below))	1,150,000
	3,650,000

(5) **NCI b/f**

	CU
Share capital	300,000
Retained earnings b/f	970,000
	1,270,000
× 20%	254,000
Add back NCI in net assets at date of disposal (20% × 1,400)	280,000
Profit on disposal	678,000

Note: The profit on disposal figure in the retained earnings carried forward balance is the profit which would appear in Blue plc's own statement of profit or loss.

This adjustment is required as Blue plc's own financial statements do not reflect the disposal. (We are told that no entries have been made in respect of this transaction.)

The profit in Blue plc's separate financial statements is CU472,000 more than that in the consolidated financial statements. The difference is equal to Blue plc's share of the profits of Black Ltd from the acquisition date to the disposal date (80% × (1,400,000 – 810,000)).

By including the parent company profit on disposal in consolidated retained earnings rather than the group profit on disposal we ensure that consolidated retained earnings includes Blue plc's share of Black Ltd's profits from acquisition to disposal. If the group profit on disposal was included, a separate adjustment would be required to add in the profits of Black Ltd attributable to Blue plc Group from acquisition to disposal date.

Interactive question 2: Complete disposal

Daring plc has a number of subsidiaries, one of which, Glory Ltd, was sold in the current year. The draft accounts for the Daring Group (being Daring plc and the subsidiaries it still owns) and Glory Ltd at 31 March 20X1 are as follows:

Statements of financial position

	Daring Group CUm	Glory Ltd CUm
Intangible assets – goodwill	4,000	–
Investment in Glory Ltd at cost	3,440	–
Sundry assets	42,450	9,500
	49,890	9,500
Equity attributable to owners of parent		
Share capital (CU1 ordinary shares)	8,000	3,000
Retained earnings	11,000	3,500
	19,000	6,500
Non-controlling interests	12,000	
Total equity	31,000	6,500
Liabilities	10,000	3,000
Sales proceeds account	8,890	
	49,890	9,500

Statements of profit or loss

	Daring Group CUm	Glory Ltd CUm
Profit before tax	12,950	3,800
Income tax expense	(5,400)	(2,150)
Profit for the year	7,550	1,650
Profit attributable to:		
Owners of Daring plc	5,050	
Non-controlling interests	2,500	
	7,550	

Statements of changes in equity

	Daring Group					Glory Ltd
	Attributable to owners of Daring plc					
	Share capital CUm	Retained earnings CUm	Total CUm	Non- contr'g interests CUm	Total CUm	Retained earnings CUm
Balance b/f	8,000	5,950	13,950	9,500	23,450	1,850
Total compreh've income for the year		5,050	5,050	2,500	7,550	1,650
Balance c/f	8,000	11,000	19,000	12,000	31,000	3,500

Daring plc acquired 90% of Glory Ltd when the retained earnings of Glory Ltd were CU700 million. The fair value of the identifiable assets acquired and liabilities assumed by Daring plc were equal to their carrying amounts at the date of acquisition. In an earlier accounting period an impairment loss of
CU20 million was recognised in relation to the goodwill acquired in the business combination with Glory Ltd.

On 31 December 20X0 Daring plc sold all its shares in Glory Ltd for CU8,890 million. Daring plc has debited cash and credited a sales proceeds account in the statement of financial position with this amount, as it is unsure what entries are needed.

Requirement

Prepare the Daring Group consolidated statement of financial position, consolidated statement of profit or loss and consolidated statement of changes in equity for the year ended 31 March 20X1.

You should assume that the disposal of Glory Ltd constitutes a discontinued operation in accordance with IFRS 5, Non-current Assets Held for Sale and Discontinued Operations.

See **Answer** at the end of this chapter.

3.5 Non-controlling interests and disposals

If a subsidiary is disposed of and on acquisition some goodwill was attributed to the NCI as a result of it being measured at fair value, the calculation of the parent's profit or loss on disposal should allow for some of the carrying amount of goodwill at the disposal date being attributable to the NCI. This is automatically achieved by measuring the carrying amount of the NCI at the date of disposal per the adjusted standard consolidation working 4 provided the working measures the NCI at acquisition at fair value.

Interactive question 3: NCI and disposal

On 1 January 20X5 Foot plc acquired 75% of the equity shares in Cone Ltd for CU800,000. At that date the carrying amount of Cone Ltd's net assets was CU640,000, which was equal to the fair value of the identifiable assets acquired and liabilities assumed by Foot plc. On the same date the fair value of the non-controlling interests in Cone Ltd was estimated at CU180,000. At 31 December 20X7 the fair value and carrying amount of the net assets recognised by Cone Ltd was CU900,000 and Cone Ltd's profit for the year ended 31 December 20X8 was CU400,000. Foot plc disposed of its interest in Cone Ltd for CU1.35 million on 30 September 20X8.

Requirements

Calculate the profit or loss on disposal to be recognised in Foot plc's consolidated profit or loss for the year ended 31 December 20X8 on the basis that at acquisition the non-controlling interests were measured at:

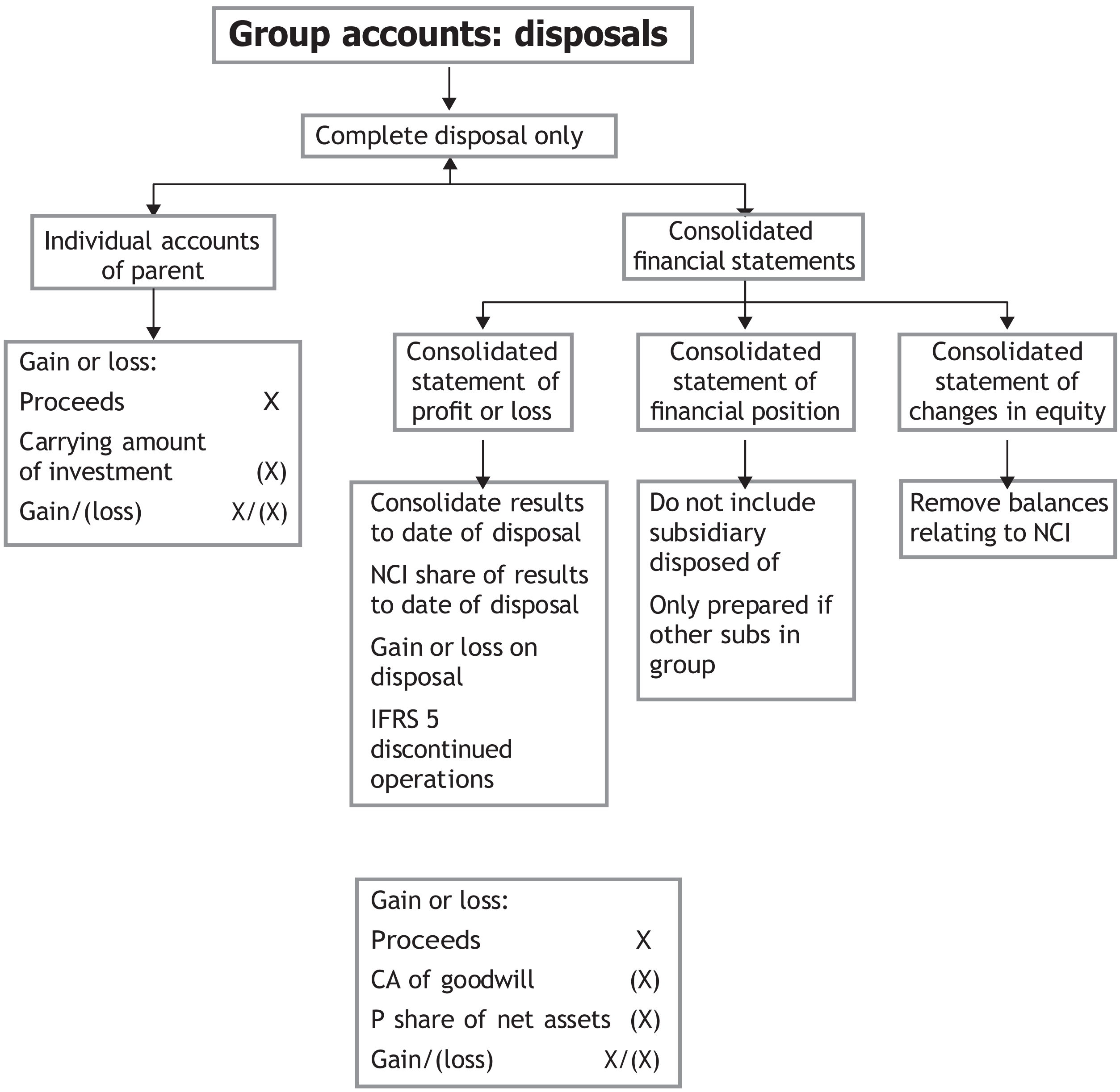
(a) using the proportionate method

(b) using the fair value method

See **Answer** at the end of this chapter.

CHAPTER 14

Summary


Group accounts: disposals
Complete disposal only
Individual accounts of parent
Gain or loss:
Proceeds X
Carrying amount of investment (X)
Gain/(loss) X/(X)
Consolidated financial statements
Consolidated statement of profit or loss
Consolidate results to date of disposal
NCI share of results to date of disposal
Gain or loss on disposal
IFRS 5 discontinued operations
Consolidated statement of financial position
Do not include subsidiary disposed of
Only prepared if other subs in group
Consolidated statement of changes in equity
Remove balances relating to NCI
Gain or loss:
Proceeds X
CA of goodwill (X)
P share of net assets (X)
Gain/(loss) X/(X)

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you explain how to calculate the profit or loss on the disposal of a subsidiary to be recorded in the parent's individual financial statement? (Topic 2)
2.	If a subsidiary has been fully disposed of before the year-end, how should it be treated in the consolidated statement of financial position? (Topic 3)
3.	If a subsidiary has been fully disposed of before the year-end, how should it be treated in the consolidated statement of profit or loss? (Topic 3)
4.	Can you explain how to calculate the group profit or loss on the complete disposal of a subsidiary for inclusion in the consolidated statement of profit or loss? (Topic 3)
5.	What effect does the initial measurement of non-controlling interests have on the calculation of group profit or loss on the complete disposal of a subsidiary? (Topic 3)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test question is particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Arbitrary plc	This is a great question to bring together learning from the last few chapters. The group has disposed of a subsidiary and acquired a new subsidiary part- way through the reporting period. Part (a) requires you to prepare the consolidated statement of profit or loss, including group profit or loss on disposal, as well as extracts from the consolidated statement of changes in equity. Part (b) requires you to calculate the profit in the parent's individual statement of profit or loss and, very importantly, explain why it is different from group profit on disposal. In part (c) you are asked to discuss the concepts of control and ownership in the context of this disposal – a great task to get you thinking about how to explain the application of these concepts in a clear and concise way.

Once you have completed this self-test question, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
MilloMops plc (part 1 issue 3)	In part 1 of this question, you are required to explain the accounting treatment for the disposal of a subsidiary.
Chamba Ltd	This is a good question to round up your knowledge of group accounting, including a disposal. It focuses on the calculation of the gain or loss on full disposal of the subsidiary.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

For a comprehensive Technical reference section, covering all aspects of group accounts (except group statements of cash flows) see Chapter 10.

CHAPTER 14

Self-test questions

Answer the following questions.

1 Rainbow Ltd

On 1 January 20X1 Rainbow Ltd acquired all of Zippy Ltd's 1,000 CU1 ordinary shares. The goodwill acquired in the business combination was CU10,000 of which 40% had been written off as impaired by the end of 20X2.

On 1 January 20X3 Rainbow Ltd sold all the shares for CU140,000 when Zippy Ltd's retained earnings amounted to CU112,000.

Requirement

What is the profit on disposal which should be included as part of the profit for the period from discontinued operations figure in the consolidated statement of profit or loss of Rainbow Ltd?

2 Yogi plc

Yogi plc has held an 80% investment in Bear Ltd for many years. On 31 December 20X6 it fully disposed of its investment. Details for the acquisition and disposal are as follows.

	CU
Consideration transferred on acquisition	7,380,000
Fair value of the identifiable assets acquired and liabilities assumed by Yogi plc at acquisition (equal to their carrying amounts)	9,000,000
Sale proceeds on 31 December 20X6	9,940,000

Goodwill acquired in the business combination has been fully written off after impairment reviews. The summarised statement of Bear Ltd's financial position on 31 December 20X6 showed the below:

	CU
Called up share capital	3,000,000
Retained earnings	7,350,000
Equity	10,350,000

Requirement

What is the profit/(loss) on disposal of the shares in Bear Ltd that should be included as part of the profit for the period from discontinued operations figure in the consolidated statement of profit or loss of Yogi plc for the year ended 31 December 20X6?

3 The Gill Group

The Gill Group disposed of the following part-way through the reporting period.

Tuba Ltd (100% subsidiary) for	CU150,000
Drum Ltd (55% subsidiary) for	CU70,000

Goodwill acquired in the business combinations has been fully written off as a result of impairment reviews. The retained earnings of the companies are as follows.

	At acquisition	At disposal
Tuba Ltd	CU70,000	CU100,000
Drum Ltd	CU25,000	CU40,000

The consolidated retained earnings of the remaining Gill Group, including the profit/loss made by Gill in its separate financial statements on the disposal of the investments in the year, were CU230,000 at 31 December 20X6.

Requirement

What amount for consolidated retained earnings should be included in the consolidated statement of financial position for the Gill Group as at 31 December 20X6?

4 Arbitrary plc

Arbitrary plc holds 80% of the ordinary shares of Contrary Ltd which it purchased five years ago, on 1 July 20X0, for CU175,000. On 1 July 20X5 Arbitrary plc sold all of these shares and used the proceeds (CU212,000) to purchase 65% of the ordinary shares of Enthusiast Ltd on the same date. The share capitals of Contrary Ltd and Enthusiast Ltd have remained constant for many years at CU100,000 and CU200,000 respectively. The net assets of Contrary Ltd and Enthusiast Ltd were as follows.

		Contrary Ltd	Enthusiast Ltd
	At acquisition	At 1 January 20X5	At 1 January 20X5
	CU	CU	CU
Net assets	187,000	150,000	280,000

In respect of both Contrary Ltd and Enthusiast Ltd, the fair value of the identifiable assets acquired and liabilities assumed by Arbitrary were equal to their carrying amounts at the dates of acquisition. Statements of profit or loss and extracts from the statements of changes in equity for all three companies for the year ended 31 December 20X5 were as follows.

Statements of profit or loss

	Arbitrary plc	Contrary Ltd	Enthusiast Ltd
	CU	CU	CU
Revenue	1,926,500	521,600	792,400
Cost of sales	(1,207,200)	(386,200)	(405,900)
Gross profit	719,300	135,400	386,500
Distribution costs	(207,500)	(79,200)	(198,200)
Administrative expenses	(192,600)	(26,100)	(107,100)
Dividend received from Contrary Ltd	8,000		
Profit before tax	327,200	30,100	81,200
Income tax expense	(110,000)	(9,500)	(27,500)
Profit for the year	217,200	20,600	53,700

CHAPTER 14

	Retained earnings		
	Arbitrary plc	**Contrary Ltd**	**Enthusiast Ltd**
	CU	**CU**	**CU**
Balance brought forward	671,300	50,000	80,000
Total comprehensive income for the year	217,200	20,600	53,700
Dividends paid on ordinary shares	(50,000)	(10,000)	
Balance carried forward	838,500	60,600	133,700

No entries have been made in Arbitrary plc's statement of profit or loss relating to the sale of Contrary Ltd.

Contrary Ltd's dividends were paid before disposal.

In an earlier accounting period, an impairment loss of CU12,700 was recognised in relation to the goodwill arising on the acquisition of Contrary Ltd.

The non-controlling interests are measured using the proportionate method in both cases.

Requirements

4.1 Prepare the consolidated statement of profit or loss and the retained earnings and non-controlling interest columns for the consolidated statement of changes in equity for Arbitrary plc for the year ended 31 December 20X5 in so far as the information is available.

Note: You should assume that the disposal of Contrary Ltd constitutes a discontinued operation in accordance with IFRS 5, Non-current Assets Held for Sale and Discontinued Operations.

4.2 Calculate the profit on disposal that would be shown in the individual accounts of Arbitrary plc and explain how and why this differs from group profit on disposal.

4.3 Briefly discuss the concepts of control and ownership in the context of this disposal.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

1.1 **Champion plc's individual accounts**

	CU
Proceeds	2,100
Cost	(2,000)
Profit on disposal	100

1.2 **Consolidated accounts**

	No impairment		Impairment loss of CU470	
	CU	CU	CU	CU
Sales proceeds		2,100		2,100
Less carrying amount of goodwill at date of disposal:				
Consideration transferred	2,000		2,000	
NCI at acquisition (1,900 × 30%)	570		570	
Less net assets at acquisition	(1,900)		(1,900)	
Goodwill at acquisition	670		670	
Less impairment to date			(470)	
		(670)		(200)
Less carrying amount of net assets at date of disposal		(2,400)		(2,400)
Add back NCI in net assets at date of disposal (2,400 × 30%)		720		720
Profit (loss) on disposal		(250)		220

Answer to Interactive question 2

Daring Group – Consolidated statement of financial position at 31 March 20X1

	CUm
Intangible assets – goodwill	4,000
Sundry assets	42,450
	46,450
Equity attributable to owners of parent	
Share capital (CU1 ordinary shares)	8,000
Retained earnings (from CSOCE)	16,450
	24,450

	CUm
Non-controlling interests (from CSOCE)	12,000
Total equity	36,450
Liabilities	10,000
	46,450

Consolidated statement of profit or loss for the year ended 31 March 20X1

	CUm
Continuing operations	
Profit before tax (W2)	12,950
Income tax expense (W2)	(5,400)
Profit for the year from continuing operations	7,550
Discontinued operations	
Profit for the year from discontinued operations (1,238 (W4) + 3,321(W5))	4,559
Profit for the year	12,109
Profit attributable to:	
Owners of Daring plc (balancing figure)	9,485
Non-controlling interests (2,500 other subsidiaries + 124 (W3))	2,624
	12,109

Consolidated statement of changes in equity for the year ended 31 March 20X1

	Attributable to owners of Daring plc				
	Share capital	Retained earnings	Total	Non-controlling interests	Total
	CUm	CUm	CUm	CUm	CUm
Balance b/f (W7 and W8)	8,000	6,965	14,965	9,985	24,950
Total comprehensive income for the year	–	9,485	9,485	2,624	12,109
Eliminated on disposal of subsidiary (W5)				(609)	(609)
Balance c/f	8,000	16,450	24,450	12,000	36,450

WORKINGS

(1) **Group structure**

Daring

↓ 90% for 9/12 of year

Glory

(2) **Consolidation schedule for CSPL**

	Daring Group	Consolidated
	CUm	**CUm**
Profit before tax	12,950	12,950
Tax	(5,400)	(5,400)

(3) **Non-controlling interests in Glory Ltd for CSPL**

	CUm
1,238 (W4) × 10%	124

(4) **Profit of Glory Ltd for year to disposal**

	CUm
Profit for the year	1,650
× 9/12	1,238

(5) **Profit on disposal of Glory Ltd for CSPL**

	CUm	**CUm**
Sales proceeds		8,890
Less carrying amount of goodwill at date of disposal:		
Consideration transferred	3,440	
Non-controlling interest at acquisition (3,700 × 10%)	370	
Less fair value of identifiable assets acquired and liabilities assumed at acquisition (3,000 + 700)	(3,700)	
Goodwill at acquisition	110	
Less impairment to date	(20)	
		(90)
Less carrying amount of net assets at disposal (W6)		(6,088)
Add back NCI in net assets at date of disposal (6,088 × 10%)		609
Profit on disposal		3,321

(6) **Net assets at disposal**

	CUm
Share capital	3,000
Retained earnings b/f	1,850
Profit for year to disposal (W4)	1,238
	6,088

(7) Group retained earnings b/f for CSOCE

	CUm
Daring Group	5,950
Glory Ltd (90% × (1,850 – 700))	1,035
Goodwill impairment to date	(20)
	6,965

(8) Non-controlling interests b/f for CSOCE

	CUm
Glory Ltd ((3,000 + 1,850) × 10%) = 485 + other subsidiaries 9,500	9,985

Tutorial Note

In the case of Working 2, the consolidation schedule only includes the results of the parent groupas those of Glory Ltd are to be treated as discontinued (see Working 4). In an examination question it is likely that you will have to deal with another subsidiary still owned at the year-end as well as the company disposed of so this working will be required.

Answer to Interactive question 3

	NCI at acquisition using proportionate method		NCI at acquisition using fair value method	
	CU	**CU**	**CU**	**CU**
Sales proceeds		1,350,000		1,350,000
Less:				
Carrying amount of goodwill at date of disposal:				
Consideration transferred at acquisition date	800,000		800,000	
Non-controlling interest at acquisition date (25% × 640 and fair value)	160,000		180,000	
	960,000		980,000	
Fair value of identifiable assets acquired and liabilities assumed at acquisition date	(640,000)		(640,000)	
Goodwill at acquisition date		(320,000)		(340,000)
Carrying amount of net assets at date of disposal (W1)		(1,200,000)		(1,200,000)
Add back NCI at disposal date (W2)		300,000		320,000
Profit/(loss) on disposal		130,000		130,000

WORKINGS

(1) Net assets at date of disposal

	CU	CU
Net assets b/f	900,000	900,000
Profit for current period to date of disposal (400 × 9/12)	300,000	300,000
	1,200,000	1,200,000

(2) Non-controlling interests at date of disposal

	CU	CU
(25% × 1,200 (W1)) and (180 fair value + (25% × 1,200 – 640 increase in net assets)))	300,000	320,000

Answers to Self-test questions

1 Rainbow Ltd

CU21,000

	CU	CU
Sale proceeds		140,000
Less:		
Goodwill at acquisition	10,000	
Less impairment	(4,000)	
Carrying amount of goodwill at date of disposal		(6,000) Net
assets at disposal (1,000 + 112,000)		(113,000)
Profit on disposal		21,000

2 Yogi plc

CU1,660,000

	CU
Sales proceeds	9,940,000
Net assets at disposal	(10,350,000)
Add back NCI in net assets (10,350,000 × 20%)	2,070,000
Profit on disposal	1,660,000

3 The Gill Group

CU230,000

As the parent's separate company profit on disposal has been included within the remaining Gill Group retained earnings, no further adjustment is necessary.

4 Arbitrary plc

4.1 **Consolidated statement of profit or loss for the year ended 31 December 20X5**

	CU
Continuing operations	
Revenue (W2)	2,322,700
Cost of sales (W2)	(1,410,150)
Gross profit	912,550

Distribution costs (W2)	(306,600)
Administrative expenses (W2)	(246,150)
Profit before tax	359,800
Income tax expense (W2)	(123,750)
Profit for the year from continuing operations	236,050

Discontinued operations

Profit for the year from discontinued operations (10,300 (W3) + 79,060 (W4))	89,360
Profit for the year	325,410
Profit attributable to	
Owners of Arbitrary plc (b)	313,952
Non-controlling interest (W5)	11,458
	325,410

Consolidated statement of changes in equity for the year ended 31 December 20X5 (extracts)

	Attributable to owners of Arbitrary plc	
	Retained earnings	Non-controlling interest
	CU	CU
Balance brought forward (W6) + (W7)	629,000	30,000
Total comprehensive income for the year	313,952	11,458
Added on acquisition of subsidiary (W8)	-	107,397
Eliminated on disposal of subsidiary (W4)	-	(30,060)
Dividend paid on ordinary shares (20% × 10,000)	(50,000)	(2,000)
Balance carried forward	892,952	116,795

Non-controlling interest carried forward: proof

	CU
Enthusiast	
Net assets at 1 January 20X5	280,000
Profit for year ended 31 December 20X5	53,700
	333,700
NCI 35%	116,795

4.2 Calculation of profit in individual accounts of Arbitrary plc

	CU
Sale proceeds	212,000
Less cost	(175,000)
Profit	37,000

The different calculations of profit on disposal reflect the different way in which the subsidiary (Contrary Ltd) is accounted for in the individual and consolidated accounts.

In the individual statement of financial position of Arbitrary plc Contrary Ltd is carried at cost of CU175,000. The profit on disposal is therefore the sale proceeds less this cost.

In the consolidated financial statements the cost of Contrary Ltd is replaced with its underlying net assets and with goodwill acquired in the business combination. The profit on disposal is therefore based on sale proceeds less the percentage of net assets being sold (here 80%) less the unimpaired goodwill which is being sold in full (as it only ever related to the 80% share of net assets acquired).

4.3 Control

Up to 1 July 20X5 Arbitrary plc owns 80% of Contrary Ltd and is therefore assumed to have power, have exposure to variable returns in the form of dividends, and be able to use the power to affect the returns. This means that Arbitrary has control over Contrary. Therefore, the consolidated statement of profit or loss should include 100% of Contrary Ltd's profits up to that date.

After 1 July 20X5 Arbitrary plc no longer controls Contrary Ltd. Its results should be excluded from the consolidated statement of profit or loss for the last six months of the year and also from the consolidated statement of financial position at the year end.

This treatment reflects the fact that once Contrary Ltd has been sold its resources are no longer under group control.

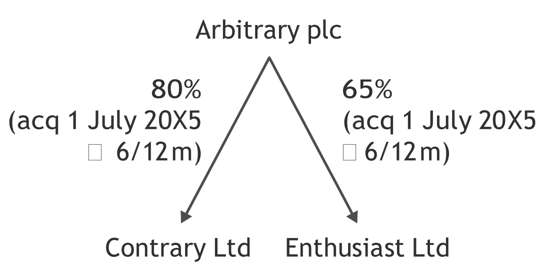
Ownership

For the first six months of the year 100% of Contrary Ltd's profits are included in the consolidated statement of profit or loss. However, 20% of its profits are owned by the non-controlling interests and this has to be deducted in arriving at the group's share of profit (CU20,600 × 6/12 × 20%).

When the disposal occurs, the group is selling its ownership interest in the net assets and the associated goodwill. Therefore, the group profit on disposal is calculated from the point of view of ownership.

WORKINGS

(1) Group structure



Contrary Ltd Enthusiast Ltd

(2) **Consolidation schedule**

Arbitrary plc		**Enthusiast Ltd 6/12**	**Consol**
	CU	**CU**	**CU**
Revenue	1,926,500	396,200	2,322,700
Cost of sales	(1,207,200)	(202,950)	(1,410,150)
Distribution cost	(207,500)	(99,100)	(306,600)
Admin exp	(192,600)	(53,550)	(246,150)
Tax	(110,000)	(13,750)	(123,750)
PFY		26,850	

(3) **Profit for year to disposal**

	CU
PFY of Contrary Ltd	20,600
× 6/12	10,300

(4) **Profit on disposal of Contrary Ltd**

	CU	CU
Sale proceeds		212,000
Less: Carrying amount of goodwill at date of disposal: Consideration transferred on acquisition		175,000
NCI at acquisition (187,000 × 20%)		37,400
Less fair value of identifiable assets acquired and liabilities assumed at acquisition	(187,000)	
Goodwill at acquisition	25,400	
Less impairment to date	(12,700)	
		(12,700)
Less: Carrying amount of net assets at disposal:		
Net assets at 1 January 20X5	150,000	
Profit to 1 July 20X5 (W3)	10,300	
Dividends paid	(10,000)	
		(150,300)
Add back NCI in net assets (150,300 × 20%)		30,060
Profit on disposal		79,060

(5) **Non-controlling interests in year**

	CU
Contrary Ltd (20% × 10,300 (W3))	2,060
Enthusiast Ltd (35% × 26,850 (W2))	9,398
	11,458

(6) **Retained earnings b/f**

	CU
Arbitrary plc	671,300
Contrary Ltd (80% × (50,000 – (187,000 – 100,000)))	(29,600)
Goodwill impairment to 31 December 20X4	(12,700)
	629,000

(7) **Non-controlling interest b/f**

	CU
Contrary Ltd (150,000 × 20%)	30,000

(8) **Non-controlling interests added on acquisition of subsidiary**

	CU
Enthusiast Ltd ((280,000 + 26,850 (W2)) × 35%)	107,397